

Introduction to the Unit

This unit comprises of two chapters which focus on demand and supply of goods and services. An understanding of economic terms and concept such as complementary goods, substitute goods, households, businesses, demand and supply schedules and curves will help you better understand the factors which influence demand and supply of goods and services. It will facilitate in describing the role that demand and supply play in decisions regarding production, consumption and distribution of goods and services.

CHAPTER :1**DEMAND—FOCUS ON THE CONSUMER****SLOs:**

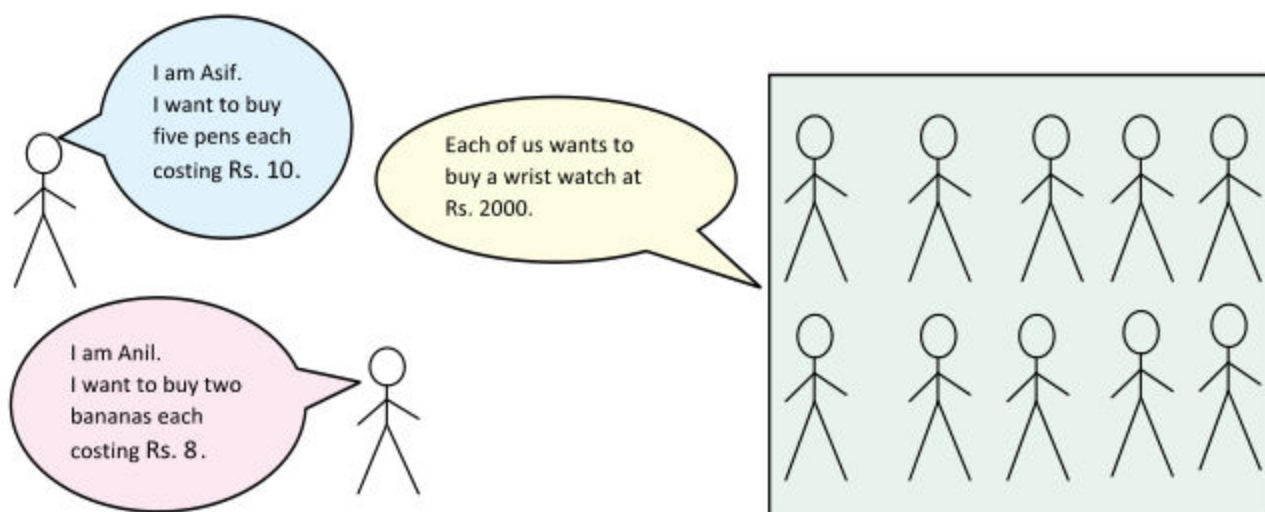
- Define with examples the terms consumer demand, individual demand, complementary, income and substitute goods.
- Interpret a line graph for demand.
- Construct a demand schedule for an individual from given data.
- Draw a demand curve for an individual using given data.
- Illustrate and explain how a consumer will react to a change in price resulting in a change in quantity demanded.
- Identify non-price factors that will affect demand (e.g. changes in taste and preferences, change in prices of complementary goods and services, changes in prices of substitute goods, changes because income increases/decreases).
- Illustrate and explain how consumers will react to a change in non-price factors affecting demand.
- Define the terms household, necessities, luxury goods and savings.
- Identify the impact of income on our demand for goods and services (e.g. necessities and luxury goods and the amount of savings).

Introduction

In this chapter, you will study about demand and some other terms and concepts related to it. Through different activities, tables and graphs, the interaction of various factors and their effect on demand will be discussed. Depending on these factors, the consumer's behavior will be explained.

Look at the following two pictures on the left. What do you see?

Now, look at the picture on the right. What is happening?



Demand

Demand is an economic principle that describes a consumer's desire and willingness to pay a price for a specific good or service.

Consumer Demand

Demand is comprised of three things:

- Desire
- Ability to pay
- Willingness to pay

The amount of goods and services **consumers** are willing to buy is known as Consumer demand.

Two basic types of demand

There are two basic types of demand i.e individual and market.

Individual demand

The individual demand is the demand of one individual or firm. It represents the quantity of a good that a single consumer would buy at a specific price and at a specific point in time. Individual demand can be represented by the point of view of one person, a single family or a single household.

Market Demand

Market demand provides the total quantity demanded by all consumers. In other words, it represents the aggregate of all individual

Do You Know?

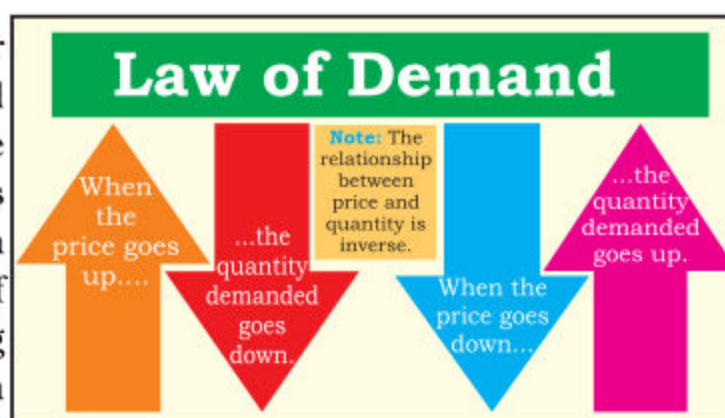
A household is a social unit comprised of people living together in the same house. For example: the people in a family that are living together in a house.

demands. It could be the total demand for **all** of the brands that represent a given product or service, such as all phones or all watches etc. It could also be the demand for **one** particular brand of product or service, such as the iPhone or a Citizen watch.

Market demand is an important economic marker because it tells about a consumer's willingness to buy certain products. If market demand is low, it indicates to a company that they should stop a product or service, or change it so that it is more appealing to consumers.

The Law of Demand

In simple words, the higher the price, the lower the demand and the lower the price, the higher the demand. This brings us to an important law in economics known as the Law of Demand. It states that: Holding all other factors constant, an increase in the price of a good



or service will decrease demand, and vice versa. We may also say that quantity demanded is inversely proportional to price.

Assumptions under Which Law of Demand Is Valid

When we say 'holding all other factors constant', it means that this law will be applicable only if the following conditions are fulfilled:

1. No change in price of related commodities.
2. No change in income of the consumer.
3. No change in taste and preferences, customs, habit and fashion of the consumer.
4. No change in size of population.
5. No expectation regarding future change in price.

Do you know?

Ceteris paribus is the commonly used Latin phrase meaning 'all other things remaining constant'. When using ceteris paribus in economics, it is often safe to assume that all other variables, except those under immediate consideration, are constant.

Demand Schedule

Demand Schedule is a tabular representation of various combinations of price and quantity demanded by a consumer during a particular period of time. An imaginary demand schedule is given below:

Price/ Kg (in Rs.)	Quantity demanded (in kg)
10	10
8	20
6	30
4	40
2	50

We have learnt that demand and price have an inverse relationship. It can be represented through tables and graphs (curves). Let us have a look at them.

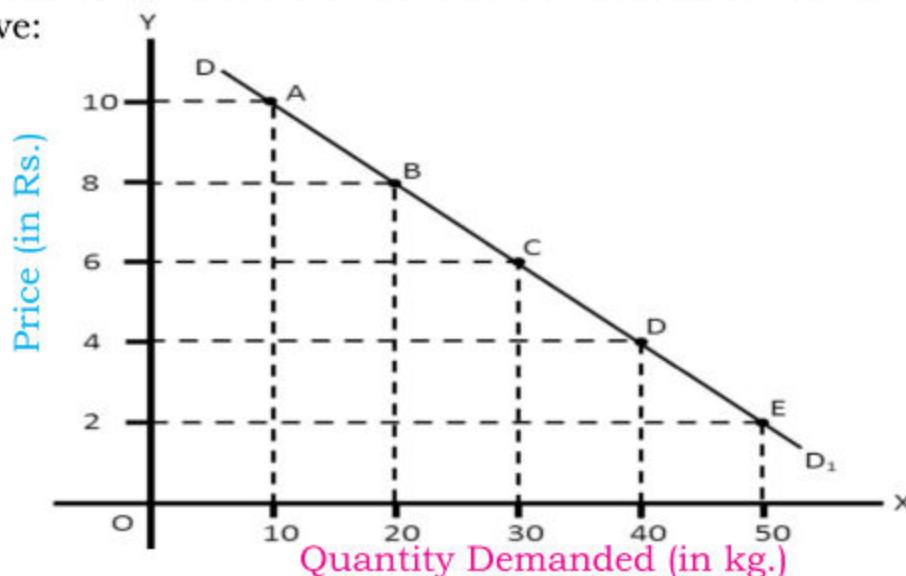
Demand Curve

A demand curve is the graphical representation of demand schedule. In other words, it is a graphical representation of the quantities of a commodity which will be demanded by the consumer at various prices in a particular period of time, other things remaining the same. The price is always measured on the vertical axis (Y-axis) and the quantity is always measured on the horizontal axis (X-axis).

How to Create a Graph?

1. Create a table (or schedule) by writing the given data in columns. Data for a line graph is usually contained in a two-column table corresponding to the x-axis and y-axis.
2. Draw the x- and y-axes on the page.
3. Label each axis.
4. Choose a scale.
5. Plot the various combinations of data on your graph.
6. Label each point.
7. Join the points to get a line/curve.

We can show, the above demand schedule through the following demand curve:



In the figure on previous page, the price is measured along with the Y-axis and quantity demanded is measured along with the X-axis. By plotting various combinations of price and quantity demanded, we get a demand curve **DD1** derived from points **A, B, C, D and E**. This is a **downward sloping curve** showing **inverse** relationship between price and quantity demanded.

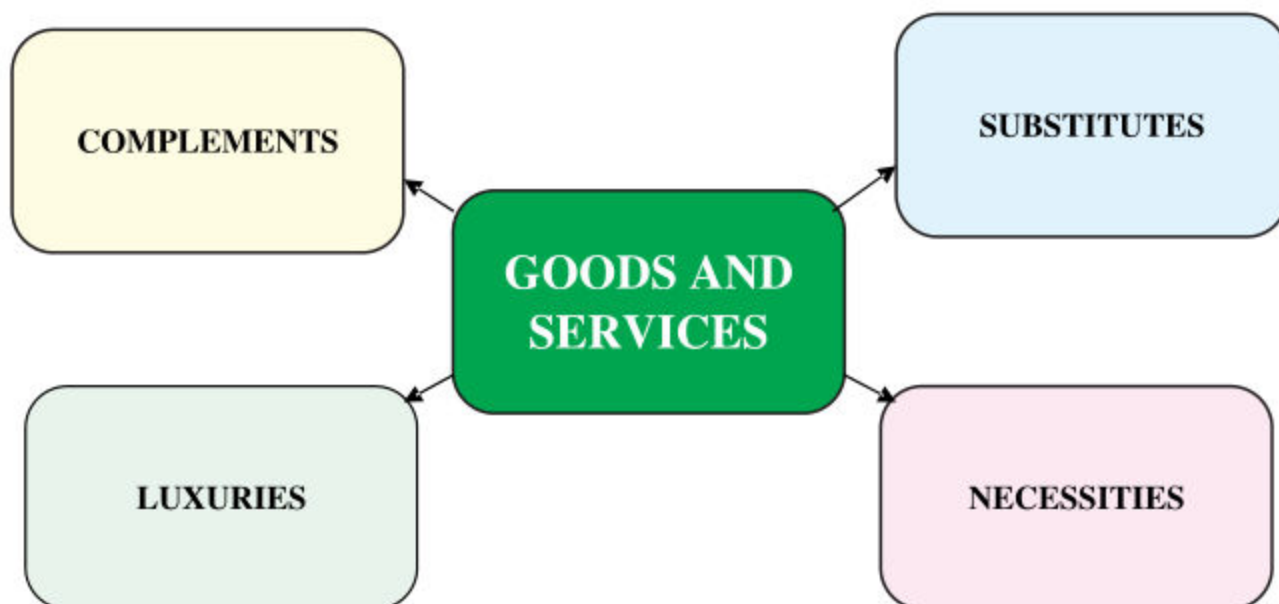
Activity

Use the information about price and quantity demanded given in the following paragraph to create a demand schedule. Then, draw a demand curve for an individual using the given data.

At a price of Rs. 7, Ahmed buys only one packet of biscuits but, when the price is Rs. 6, he buys two packets. At Rs. 5, he buys four packets of biscuits. At Rs. 4, he buys 7 packets. As price falls from Rs. 4 to Rs. 3, Rs. 2, and then to Rs. 1, Ahmed buys 11, 16 and 23 packets of biscuits respectively.

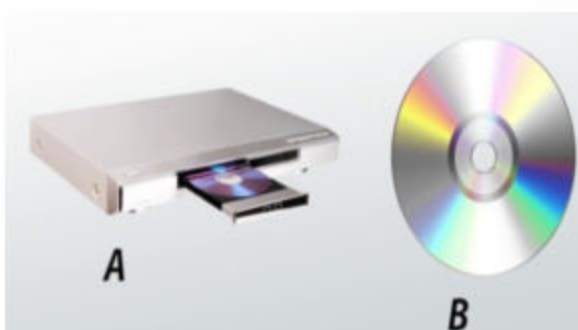
Different Types Of Goods And Services

Goods and services could be classified into different categories. These are:



Complementary Goods

Let us suppose, in an economy, tea and sugar both cost Rs. 120 per kg. Due to high price, people consume less tea. Then one day, suppose the price of tea decreases to Rs. 60 per kg. So, people now rush to buy tea. But, sugar is also required to make tea. So, they will also purchase more sugar, though the price of sugar has not changed.



In the above example, you can see that the change in price of tea also affected the demand for sugar. Hence, these two will be called Complementary goods.

Therefore, we may say that **Complementary goods** are two (or more) goods which are consumed together. As the price of one goes down, the demand for both the goods increases. Similarly, rise in the price of one, would result in the fall in the demand for both the goods. Basically, this means that the demand for one drives the demand for its



complement. When the price of a good rises, the demand for its complement will fall, because consumers don't want to use the complement **alone**. For example: if the price of ink-cartridges is lower, the demand for printers will also rise and vice versa.

Some other examples of Complementary goods are:

- Automobile and fuel
- Automobile and tyres
- Ball pen and refill
- Set of construction material (bricks, cement, steel)
- Mobile phone and cellular service provider
- Shoes and shoe polish



Activity

Think of some more examples of Complementary goods. Write down at least three more pairs and share them with your friends.

Substitute Goods

The price of butter has increased. So, Mrs. Nadir buys margarine instead of butter, because it is similar to butter yet, it costs less. In other words, she substitutes margarine for butter because the price of margarine is less than butter.



The goods that can be used by consumers as an alternative choice are called **Substitute goods**. In other words, Substitute goods are two goods that could be used for the same purpose. If the price of one good goes up, the sales of the other rise, and vice versa. For example, if the price of inkjet printers falls, the demand for laser printers will fall, as they are a substitute for the inkjet ones. In this case, consumers will replace one good with the other. Classic examples of substitute goods include margarine and butter, or tea and coffee.



Activity

Think of some more examples of Substitute goods. Write down at least three more pairs and share them with your friend.

Necessities and Luxury Goods

Necessities are the goods or services that are required by people. These are our basic needs required for life. This would include the needs for food, clothing, shelter, health care etc. In economics, a **luxury** good is a good for which demand increases more than proportionally as income rises, and is a contrast to a "necessity good", for which demand increases proportionally less than income. For example: gold ornaments, expensive branded watches, luxury cars etc.

Remember!

'Needs' are the natural requirements which are necessary for maintaining life, such as the need for air, water, food, clothing, shelter and sleep.

'Wants' are the desires that are not essential for life but they make life just a little more enjoyable.



Non-Price Factors Affecting Demand

Price is not the only factor in determining the demand for a particular product. There are several factors that influence individual and market demand. Individual demand is influenced by an individual's age,

gender, income, habits, expectations and the prices of competing goods in the market place. Market demand is influenced by the same factors, but on a broader scale—the taste, habits and expectations of a community and so on. Let us discuss these factors in detail:

(i) Change in Population: If the population of a country increases due to any reason, the demand for various kinds of goods will increase even if the prices remain the same. For example: if in a country, the percentage of children increases, there will be greater demand for toys, children food, etc. Similarly, if the percentage of aged people increases, the demand for walking sticks, artificial teeth, wheel chairs, etc, will increase.

population



(ii) Change in Tastes and Preferences: Demand for a commodity may change due to changes in tastes and preferences. For example, we see an increase in the demand for fast food and pizza because people have developed a taste for it thus, they prefer fast food.

(iii) Change in Income: The demand for goods and services is also affected by change in income of the consumers. If the consumers' income increases, they will demand more goods or services even at a higher price. On the other hand, they will demand less quantity of goods or services even at lower price if there is a decrease in their income. Moreover, when income increases, people begin to spend money on those goods which were previously regarded by them as **luxuries** or semi-luxuries. For example: a person's income has increased from Rs.10, 000 to Rs.20, 000 per month. His consumption of wheat will go down,because he now spends more money



Remember!

Income is the money received, on a regular basis for work. For example, the money, a person who works at a factory gets paid at the end of each month is income.

on foods which were earlier considered as luxuries, such as cake, fish, dairy products, fruits, etc.

(iv) Change in the Price of Substitutes: If the price of a particular commodity rises, people may stop further purchase of that commodity and spend money on its substitute which is available at a lower price. Thus, we find a change in demand can also be brought by a change in the price of the substitute.

(v) Climate and Weather Conditions: The climate and weather conditions have an important bearing on the demand of a commodity. For instance, the consumer's demand for woolen clothes increases in winter and decreases in summer.

(vi) Goods having Prestige Value: Few goods like diamonds can be purchased only by rich people. The prices of these goods are so high that they are beyond the capacity of common people. The higher the price of the diamond, the higher the prestige value of it.



In this case, a consumer will buy a few of the diamonds at a low price because with the fall in price, its prestige value goes down. On the other hand, when price of diamonds increases, the prestige value goes up and therefore, the quantity demanded will increase.

(vii) Price Expectation: When the consumers expect that the price of a commodity is going to fall in the near future, they do not buy more even if the price is lower. On the other hand, when they expect a future rise in price of a commodity, they will buy more even if the price is higher. Both of these conditions are against the law of demand.

(viii) Fear of Shortage: When people feel that a commodity is going to be scarce in the near future, they buy more of it even if there is a current rise in price. For example: If the people feel that there will be shortage of LPG gas in the near future, they will buy more of it, even if the price is high.

(ix) Change in Fashion: The law of demand is not applicable when the goods are considered to be out of fashion. If the commodity goes out of fashion, people do not buy more even if the price falls. For example: People do not purchase old fashioned shirts and pants nowadays, even though they've become cheap. On the other hand, people buy fashionable goods which cost more to buy.

Savings

Savings consist of the amount left over when the cost of a person's consumer expenditure is subtracted from the amount of income he/she earns in a given period of time. Savings could be positive meaning that there is some money left after a person's expenses have been subtracted from his/her income. But sometimes there is no money left for savings.

$$Y = C + S$$

[Income = Consumption + Saving]

$$100 = 80 + 20$$

If a family has surplus income, they will choose between how much to spend or save. The saving and spending depends on the factors which include the needs, wants, taste and values. Different people will choose different combinations of spending and saving. Rich people often spend their money to buy big houses, luxury cars and to travel abroad. On the other hand, people who belong to the middle class save their money for their children's education or to buy a house.

SUMMARY

In this chapter, you learned that Demand describes a consumer's desire and willingness to pay a price for a specific good or service. Moreover, quantity demanded is inversely proportional to price. A table representing various combinations of price and quantity demanded is known as a Demand Schedule and the graphical representation of this demand schedule is called a Demand Curve. Goods and services could be of different types—Complementary goods, Substitute goods, Luxury goods and Necessities. Changes in price of a good affects the demand for another good depending upon whether the other good is a complement or a substitute of the good whose price has changed. Some non-price factors such as tastes and preferences, income, price of substitutes, climate, weather and fashion etc, may also influence demand. Savings consist of the amount left over when the cost of a person's consumer expenditure is subtracted from the amount of income he/she earns in a given period of time. Different people will choose different combinations of spending and saving.

END OF CHAPTER EXERCISE

Check Your Knowledge And Understanding

Fill in the blanks

- i. When the price goes up, the quantity demanded goes_____.
- ii. Two basic types of demand are _____ and _____.
- iii. The graphical representation of demand schedule is known as a _____.

Make a table

Draw a three-column table. Write down a list of goods or services in column A. Beside each good or service, write down its Complementary good in column B and its Substitute in Column C.

Goods / Services	Complementary	Substitute

Answer The Following Questions

- I. Define the term 'Consumer Demand'. Give three examples.
- II. Define with examples the term 'Income'.
- III. Define the term 'Complementary goods'? When the price of a good falls, what happens to the demand for its Complement?
- IV. Define the term 'Substitute goods'? When the price of a good rises, what happens to the demand for its Substitute?
- V. Identify any five non-price factors that affect demand.

Find Out More

Ask five children that how they would spend their pocket money if the price of their favourite food (or drink) which they buy every day suddenly increased? Ask them to tell you that what they would do if the price of the item of their choice suddenly goes down. Then, write a small paragraph to describe their reactions to a change in price.

Cooperate With Others

In small groups, role-play the situations of change in non-price factors affecting demand and then answer the following questions:

- (i) While shopping for her monthly groceries, Mrs. Nadir notices that the price of coffee has gone down. So, she decides to buy two bottles of coffee instead of two packets of tea which she normally buys. Why did Mrs. Nadir do this?
- (ii) Asad while buying a certain brand of powdered milk (which his baby drinks) is informed by the shop keeper that there is an expected shortage of this milk powder in the near future. Asad gets a little worried as the milk is not cheap. What will he do? Will his quantity demanded increase, remain the same or decrease? Why?
- (iii) There is a sudden increase in the demand for butter although its price has not changed. Three different people are giving their reasons that why they are buying more butter? One student could become the reporter of a TV channel and ask each one about their reason to buy more butter. Can you come up with any other reason?

Teacher's Note: Encourage students to come up with different reasons for the role play situation number (iii), such as one person could say that since my income has increased, I can now afford to buy butter. Another person's reason could be that the price of margarine has increased so, butter which is a substitute of margarine has now become relatively cheaper. Still, another person's reason could be that the price of butter is expected to increase in the future, so he is buying more of it now.

SLOs:

- Define the terms producer, supply, incentive, revenue, profit.
- Interpret a line graph for supply.
- Interpret the given table (supply schedule) and graph (supply curve) to explain how changes in price affect the quantity supplied.
- Construct a supply curve for an individual producer from the data given in the supply schedule.
- Explain how a producer will react to changes in the price of a good or service they supply.
- Explain possible flow-on effects on producers (hiring more staff, using more resources, etc), households (more jobs, more income to spend) and firms (more raw materials) of changes in quantity supplied.

Introduction

In this chapter, you will read about supply and some other terms and concepts related to it. Through different activities, tables and graphs, the interaction of various factors and their effect on the quantity supplied will be discussed. Depending on these factors, the producer's behavior will be studied. Some flow-on effects of changes in quantity supplied on producers and consumers will also be explained.

Producer

A producer is someone who creates and supplies goods or services. Producers combine factors of production—also called factor inputs—to produce goods and services that are sold to consumers, governments or other firms. The goal of a producer is to get the maximum profit.

Goods and services get produced by using productive resources that economists call Factors of Production which include:

- Land
- Labour
- Capital

Businesses—called "**firms**"—are the main examples of producers and are usually what economists have in mind when talking about producers. However, **governments** are producers of some kinds of services — such as police services, defence, public schools, and mail delivery—and sometimes goods, such as when a government owns the oil fields etc.

Remember!

A **firm** is a single business or producer, for example, *Bata Shoes*. It may be a factory, or a chain of stores that sells food, clothes or shoes.

Revenue

Revenue is the amount of money that is brought into a company by its business activities. It is the amount of money that a company **actually** receives during a specific period. Revenue is calculated by multiplying the price at which goods or services are sold by the number of units or amount sold.

$$\text{Revenue} = \text{Unit Price} \times \text{Number of Units / Amount sold}$$

When costs are subtracted from revenue, we can determine the net income of the producer or Profit. For example, producers pay wages to workers which include salaries, bonuses, and benefits such as health insurance. All these are the expenses (or costs) for the producer. Anything left over for the owner of the business after these costs are subtracted from the Revenue is called profit.

Profit

Profit is the reward gained by risk taking entrepreneurs when the revenue earned from selling a given amount of output exceeds the total costs of producing that output. This simple statement is often expressed as the **profit identity**, which states that:

$$\text{Total Profit} = \text{Total Revenue (TR)} - \text{Total Costs (TC)}$$

In other words, a **profit** or **loss** is the difference between the revenue received from the sale of an output and the cost of the inputs used.

Incentive

An incentive is something that motivates or encourages an individual to perform an action. In **economics**, it is considered to be a payment or concession to stimulate greater output or investment. Examples of incentives include cash rewards, bonuses, income and profits. However, it is not all about money. Incentives can also include such things as peer recognition, fame, social status and power. In order to motivate his/her employees, to increase production and profits, a producer may offer certain incentives. Some employee incentives include:

Reward incentives such as gift certificates, service awards and monetary rewards.

Compensation incentives such as bonuses, salary increment etc.

Recognition incentives include giving an employee a certificate of achievement, rewarding the top employee of the month, thanking an employee for service or praising an employee's performance.

Appreciation incentives include company picnics and celebrating parties etc.

An event, object, action or item of value is an incentive, and it is intended to motivate employees to work hard. Employers (producers) generally use incentives to boost workplace morale, productivity and employee performance. As positive incentives encourage certain behaviors, similarly negative incentives i.e penalties and fines could discourage certain undesirable behaviors, for example: a penalty for late coming could be a deduction in salary which would prompt workers to come on time.

Activity

Have you ever been given a positive incentive (reward) to encourage a specific behaviour?

Teacher's Note: The teacher may ask his/ her students if they have ever received positive incentives for their good performance or for displaying good behaviour.

Activity

Have you ever been given a negative incentive (penalty) to discourage a specific behaviour?

Teacher's Note: The teacher may ask his/ her students if they have ever received negative incentives for preventing them from doing undesirable acts.

Activity

Ask the following questions from at least 5 of your classmates and record their answers in a table similar to the one given below.

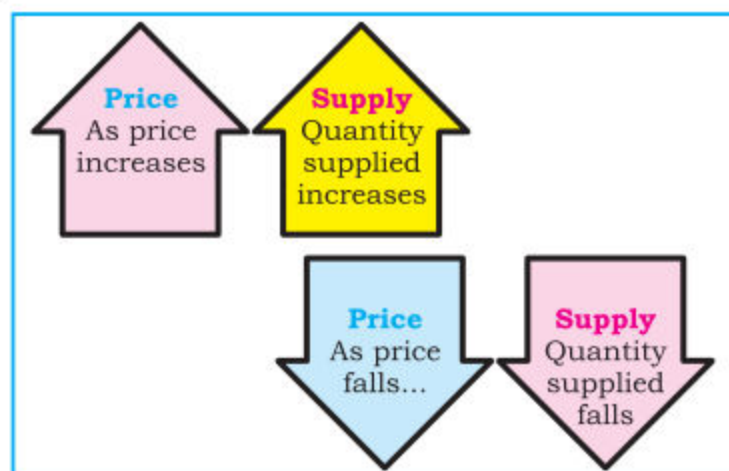
What was the incentive?	Who gave you that incentive? (Your Mother, father, teacher?)	What was the behavior that person wanted to encourage?	Did the incentive work (Did it make you change your behaviour?)

Supply

Supply is a fundamental economic concept that describes the total amount of a specific good or service that is available to consumers. Supply can be the amount available at a specific price or the amount available across a range of prices if displayed on a graph. Supply of goods will rise if the price rises.

Law of Supply

In simple words, the higher the price, the higher the supply and the lower the price, the lower will be the supply. This brings us to an important law in economics known as the Law of Supply. It states that: Holding all other factors constant, an increase in the price of a good or service will



result in an increase in the quantity supplied, and a decrease in the price of a good or service will result in a decrease in the quantity supplied. We may also say that quantity supplied is directly proportional to price. Quantities respond in the same direction as price changes. (See figure on next page)

As the price of an item goes up, suppliers will try to maximize their profits by increasing the quantity offered for sale. Some of the examples around us are:

- When consumers start paying more for cupcakes than for donuts, bakeries will increase their output of cupcakes and reduce their output of donuts in order to increase their profits.
- When college students find out that computer engineering jobs pay more than English professor jobs, the supply of students with degrees in computer engineering will increase.

The law of supply summarizes the effect that price changes have on producer behavior. For example, a business will make more video game systems if the price of those systems increases. The opposite is true if the price of video game systems decreases. The company might supply 1,000,000 (10 lacs) systems if the price is Rs.2000 each, but if the price increases to Rs.3000, they might supply 1,500,000 (15 lacs) systems.

Assumptions under which Law of Supply is valid

When we say 'holding all other factors constant', it means that this law will be applicable only if the following conditions are fulfilled:

- There is no change in price of related goods.
- There is no change in factors of production.
- There is no change in technology.
- There is no change in government policy.
- There is no change in the seller's expectations about future prices.

Remember!

Ceteris paribus is the commonly used Latin phrase meaning 'all other things remaining constant'. When using ceteris paribus in economics, it is often safe to assume that all other variables, except those under immediate consideration, are held constant.

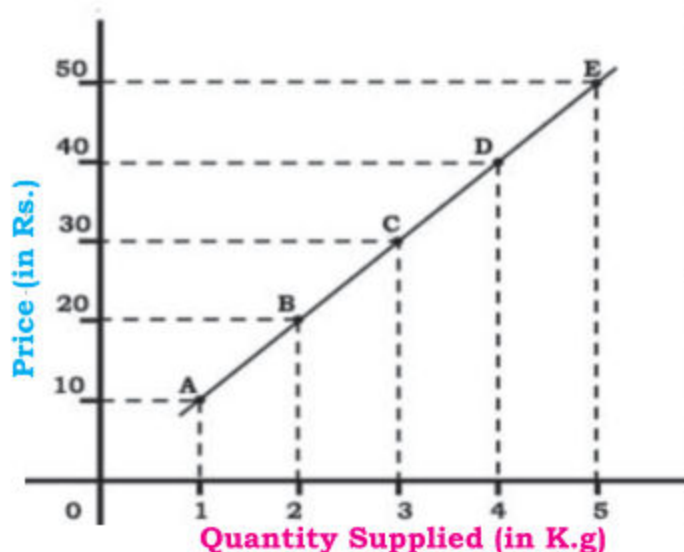
Supply Schedule

Like demand schedule, the tabulation of supply is called **supply schedule**, which can be either the Individual supply schedule (single seller) or market supply schedule (number of sellers). A supply schedule is a table which shows how much one or more firms will be willing to supply at particular prices under the existing circumstances.

The following supply schedule shows positive relationship between price and quantity supplied of a commodity. In the beginning, when the price is Rs.10 per kg, quantity supplied by the seller is 1kg. As the price increases from Rs.10 per kg to Rs.20 per kg, and then to Rs.30 per kg, the quantity supplied by the seller also increases from 1 kg. to 2 kg. And then, to 3 kg respectively. Further rise in price to Rs.40 and then to Rs.50 per kg results in increase in quantity supplied by the seller to 4 kg and then to 5 kg respectively.

Price (in Rs.)	Quantity supplied (in Kg)
10	1
20	2
30	3
40	4
50	5

Supply Curve: The supply curve is a graphical representation of the supply schedule. In other words, it represents the relationship between the price of a good or service and the quantity supplied for a given period of time through a graph. In a typical representation, the price will appear on the vertical axis (Y-axis), the quantity supplied on the horizontal axis (X-axis).



We can show the above supply schedule through the given supply curve.

In the given graph, price and quantity supplied are measured along the Y-axis and the X-axis respectively. By plotting various combinations of price and quantity supplied, we derived points A, B, C, D, E. Joining these points we find an upward sloping Supply curve. The positive slope of the supply curve establishes the law of supply and shows the direct or positive relationship between price and quantity supplied.

Activity

Using the data about price and quantity supplied of a good ABC given in the following supply schedule, construct a supply curve for an individual producer.

Price of Good ABC (in Rupees per kg)	Quantity Supplied of Good ABC
50	35
45	31
40	27
35	23
30	19
25	15

Flow on Effects of Changes in Quantity Supplied

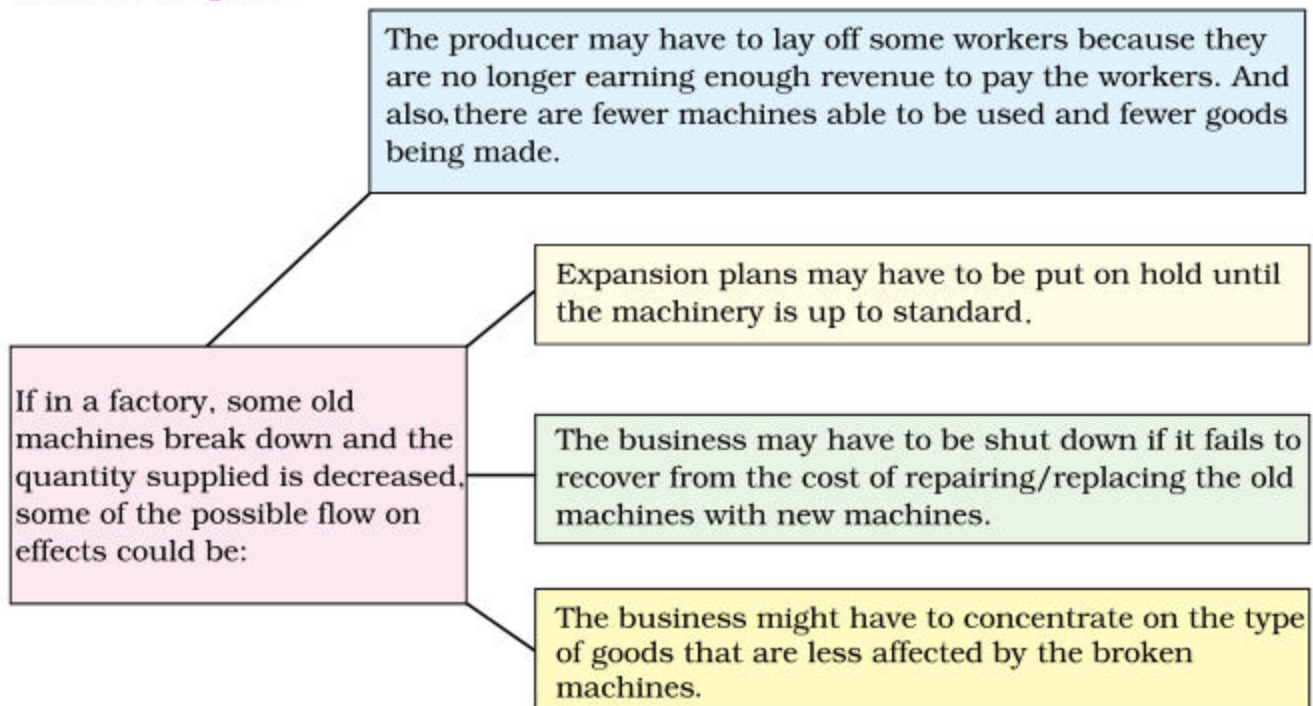
For Producers/Firms:

If quantity supplied has to be increased, it may affect the producer's decisions in many ways. He/she may have to buy new machines in order to produce more output. Also, the producer will have to hire more staff/workers because more goods are to be made. Similarly, more resources (e.g. raw materials) would be needed.

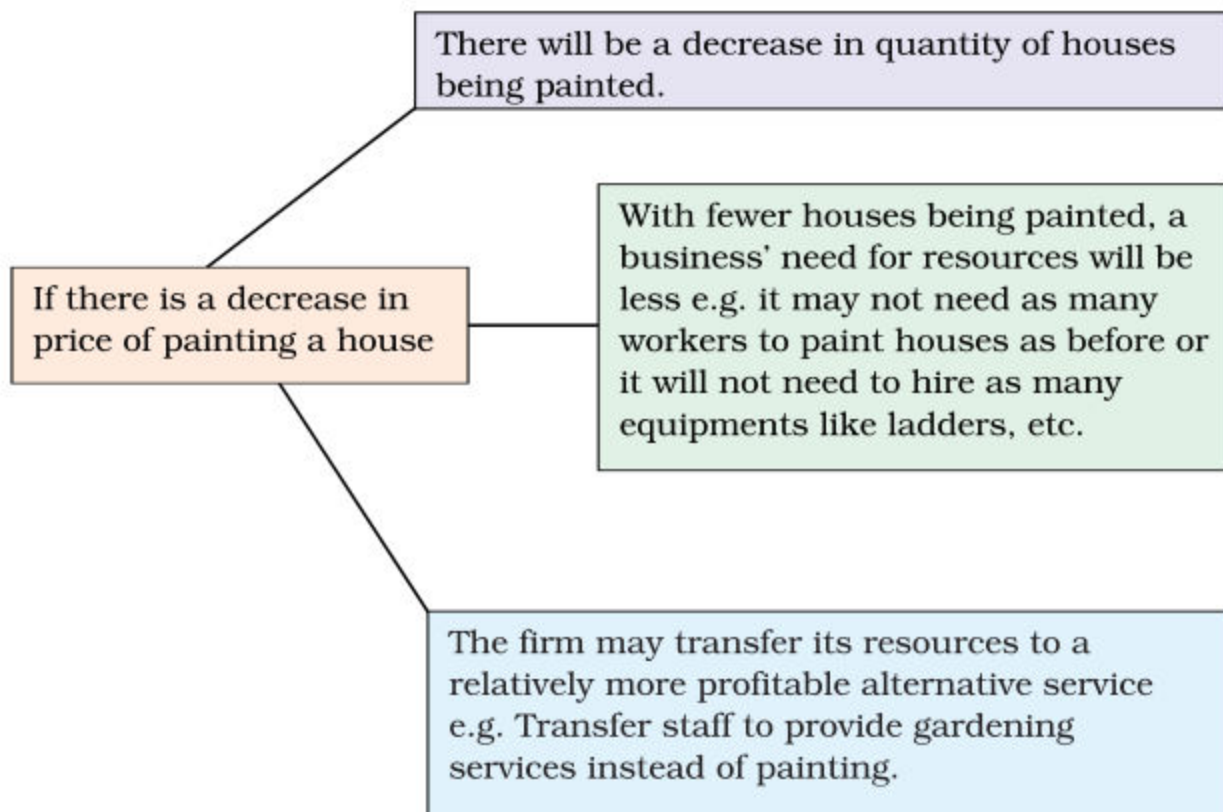
For Households:

The flow on effect of an increase in quantity supplied on households would be that more jobs will be available for them (as firms are hiring more workers) and as a result, they will have more income to spend.

Some Examples:



In another example, we could observe some flow-on effects of a decrease in price of painting a house would be on use of resources.



Other Factors Affecting Supply

There are some factors other than price, which can affect supply. These are:

- 1. Costs of Production/Costs of Inputs:** Production costs are the costs of inputs into the production process. E.g. wages, raw materials, rent, electricity/energy etc. If production costs increase and the selling price remains the same, then profit margins will decrease. Still, the producer is willing and able to sell less at this price. An increase in the cost of production causes a decrease in supply. This is because the product becomes less profitable.
- 2. Price of Related Goods:** Related goods refer to material from which inputs are derived to be used in the production of a finished good. A related good (or service) is one that can be produced using the same resources e.g. a Nan or chapatti, breads or buns, cakes or brownies.
 - An increase in the price of a related good will cause a decrease in supply of this good. An increase in the price of nans will cause a decrease in the supply of chapattis as chapattis have become relatively less profitable. An increase in the price of nans will cause an increase in the quantity supplied of nans as nans become relatively more profitable.
 - So, if you could be a personal trainer or a team coach, and the price of personal trainers went up, you would offer more personal training services and less coaching services.
- 3. Productivity:** When there is an increase in productivity, workers will be able to produce more for the same cost. Therefore, supply will increase.
- 4. Technology:** Advances in technology will increase the productivity of a firm. Improved technology often means the production process will be more efficient—making it more cost effective (minimizing costs) to produce the good or service and therefore more profitable to supply. A greater quantity is therefore supplied at each and every price. If technology wears out or breaks down, then supply will decrease.

5. Sellers' Expectations: Sellers' concern for future market conditions can directly affect supply. If the seller believes that the demand for his product will sharply increase in the foreseeable future, the firm owner may immediately increase production in anticipation of future price increases.

Activity

Can you name any other factor/ factors which affect supply?

SUMMARY

This chapter focused on the supply of goods and services. You studied about the definitions of different terms such as producer, supply, incentive, revenue, profit etc. Also, it was explained that the quantity supplied is directly proportional to price (Law of Supply). In other words, the higher the price, the higher the supply and the lower the price, the lower will be the supply. A table representing various combinations of price and quantity supplied is known as a Supply Schedule and the graphical representation of this supply schedule is called a Supply Curve. Some possible flow-on effects of changes in quantity supplied (on producers, households and firms) and some factors (other than price) which affect supply were also explained.

END OF CHAPTER EXERCISE

Check Your Knowledge and Understanding

Fill in the blanks

- i. A person who creates economic value or produces goods and services is called a _____.
- ii. If there is a technological advancement in a good's production, its supply would be _____.
- iii. A _____ represents the relationship between the price of a good or service and the quantity supplied for a given period of time through a graph.

Make a Table/Graph

The following table shows the Supply Schedule for DVDs:

Price of DVDs (in Rupees)	Quantity Supplied
250	17
200	13
150	9
100	5
50	1

Construct a supply curve for an individual producer from the data given in the above Supply Schedule.

Answer The Following Questions

- I. Define the term 'Producer'. Give three examples.
- II. Define with examples the term 'Incentive'.
- III. Define the term 'Supply'. When the price of a good falls, what happens to its supply?
- IV. Define the terms 'Revenue' and 'Profit'? Differentiate between the two.
- V. Identify any three non-price factors that affect supply.
- VI. Product price and quantity supplied are directly related (i.e., as the price of a commodity increases in the market, the amount supplied increases). This relationship is dependent on certain ceteris paribus (other things equal) conditions remaining constant. List any three conditions.

Find out More

Ask 5 children to explain how a producer of good X will react (and why) to changes in the price of the good he produces, i.e., if the price of good X suddenly increased or if it decreased? Write down their answers and share them with the class.